

he conceded, “It’s painful to me that too many people lost too much.”³⁶

Luna’s collapse was part of a reckoning for so-called crypto banks, which offered very high yields to investors who deposited crypto assets. One such firm was Celsius Network, which paid 7% interest on loans of crypto coins (which it lent out at even higher rates). At the time, ordinary banks were yielding less than 1%. Critics questioned how such yields could be sustained. Another ersatz bank, Voyager Digital, misleadingly implied that investor deposits were FDIC insured. Its marketing material promised, “In the rare event your USD funds are compromised due to the company or our banking partner’s failure, you are guaranteed a full reimbursement (up to \$250,000).”³⁷ Voyager offered 9% yields and was flooded with deposits. It characterized its approach to asset management as “low-risk.” Mark Cuban, owner of the NBA’s Dallas Mavericks, made Voyager an official sponsor. He egged on fans to trade on the Voyager platform, assuring them that Voyager was “a perfect fit for our Mavs fans . . . as close to risk-free as you’re going to get in the crypto universe.”³⁸

Voyager and Celsius each borrowed on the order of \$5 billion. Some investors believed their “deposits” were safe. But crypto banks were not legally banks; they were not FDIC insured, and most were highly leveraged. Voyager had a ratio of assets to equity of 23:1; Celsius, 19:1. That was less than half the equity cushion of the median

³⁶ Gregory Zuckerman and Justin Baer, “Mike Novogratz’s Crypto Comeback Faces a Trial by Fire,” *Wall Street Journal*, June 4, 2022.

³⁷ Eliot Brown and Yifan Wang, “Crypto Meltdown Pushes Voyager into Bankruptcy,” *Wall Street Journal*, July 6, 2022; David Benoit, “Customers Learn Crypto Accounts Not FDIC Insured,” *Wall Street Journal*, July 8, 2022, and <https://www.cbsnews.com/news/voyager-fdic-insurance-federal-reserve/>.

³⁸ On Voyager: <https://fortune.com/2022/08/11/mark-cuban-sued-voyager-digital-crypto-web3/> and <https://www.youtube.com/watch?v=aB9GpBOroIw>. On Celsius: <https://www.wsj.com/articles/celsius-owes-users-more-than-4-7-billion-11657841826>.